

Sales & Profitability Analysis

Business Requirements Document

Project	Sales & Profitability Analysis
Role	Business Analyst
Business Area	Sales & Finance
Data Source	Superstore Dataset
Stakeholders	Sales Director, Finance Manager

1. Project Overview

Project Purpose

The purpose of this project is to analyze sales and profitability performance across products, categories, regions, and customer segments. The analysis will help management understand the key factors affecting profitability, identify areas of strong and weak performance, and make data-driven decisions to improve business performance.

Business Problem

The company has a large volume of sales data but lacks clear visibility into the factors driving profitability. Management wants to understand which products, regions, customer segments, and discount levels contribute positively or negatively to profit.

2. Stakeholders

Stakeholder	Role in Project	Information Needed
Sales Director	Business decision-maker	Sales trends, product performance, regional performance, customer segments
Finance Manager	Financial decision-maker	Profit, profit margin, discounts, loss-making areas
Business Analyst	Analyzes data and provides insights	Analysis, key findings, and recommendations

3. Business Requirements

ID	Business Requirement	Priority
BR-01	Analyze overall sales and profitability	High
BR-02	Identify profitable and unprofitable categories	High
BR-03	Compare sales and profit by region	High
BR-04	Analyze profitability by customer segment	Medium
BR-05	Analyze discount impact on profit	High
BR-06	Identify loss-making products and sub-categories	High
BR-07	Analyze sales and profit trends over time	Medium

4. Key Performance Indicators (KPIs)

KPI	Definition	Business Purpose
Total Sales	Total revenue generated from all orders	Measures overall sales performance
Total Profit	Total profit generated from all orders	Measures overall profitability
Profit Margin %	$\text{Total Profit} \div \text{Total Sales} \times 100$	Measures profitability relative to sales
Total Orders	Number of unique orders	Measures order volume
Total Quantity	Total units sold	Measures product demand
AverageOrder Value	$\text{Total Sales} \div \text{Total Orders}$	Measures average order value
Average Discount %	Average discount provided	Helps assess discount impact on profitability

5. Project Scope

In Scope

Area	Included Analysis
Sales	Sales performance and trends
Profitability	Profit and profit margin
Products	Products and sub category performance

Categories	Category-level sales and profit
Regions	Regional performance
Customers	Customer segment performance
Discounts	Discount and profitability analysis
Time	Monthly and yearly trends

Out of Scope

Area	Reason
Inventory	Insufficient inventory information
Marketing	No marketing campaign data available
Employee Performance	Not relevant to the current business problem
Supplier Performance	Supplier information is not available

6. Expected Deliverables

Deliverable	Purpose
Cleaned Dataset	Prepare reliable data for analysis
Excel Analysis	Perform initial data exploration
SQL Analysis	Answer business questions using SQL
Power BI Dashboard	Present KPIs, trends, and insights
Business Insights	Identify key findings from the analysis
Recommendations	Suggest actions based on findings
Project Documentation	Document complete analytical process

7. Assumptions & Constraints

Assumptions

- The Superstore dataset is assumed to represent the company's sales transactions.
- Sales and profit values are assumed to be recorded accurately.
- The analysis will focus on the information available in the dataset.
- Historical sales patterns can be used to identify trends and potential opportunities.

Constraints

- The dataset does not contain detailed marketing information.
 - Inventory and supplier information are not available.
 - The analysis cannot determine the exact causes of business performance without additional operational data.
 - Recommendations will be based only on patterns identified in the available data.
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8. Success Criteria

The project will be considered successful if it:

- Provides a clear view of sales and profitability.
- Identifies profitable and underperforming products and categories.
- Highlights regional and customer-segment performance.
- Identifies potential relationships between discounts and profitability.
- Provides actionable recommendations for management.
- Presents findings through a clear and interactive Power BI dashboard.